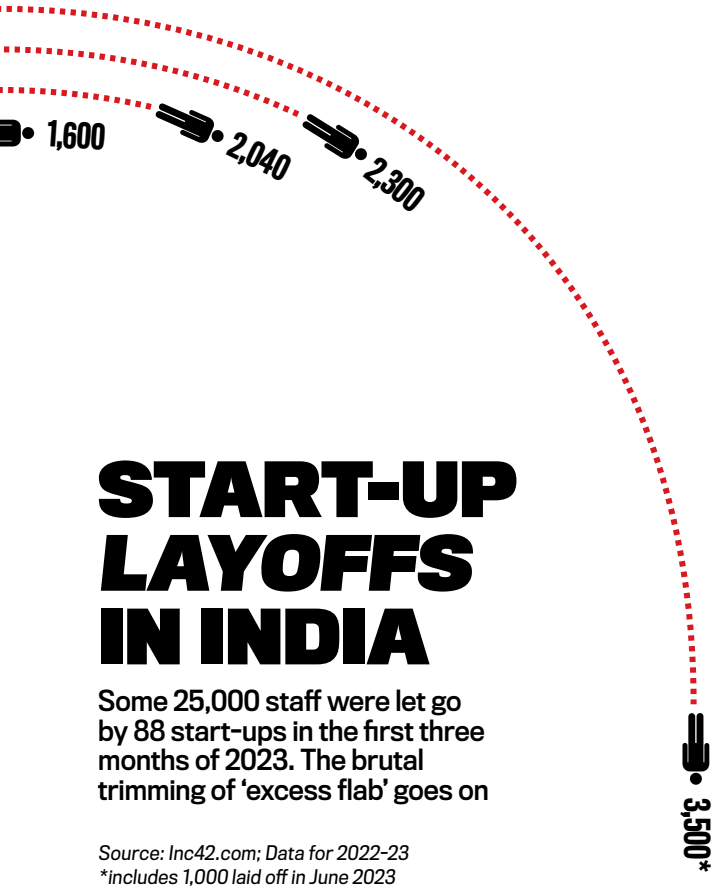


START-UP *LAYOFFS* IN INDIA

Some 25,000 staff were let go by 88 start-ups in the first three months of 2023. The brutal trimming of 'excess flab' goes on

Source: Inc42.com; Data for 2022-23
**includes 1,000 laid off in June 2023*

several start-ups like PharmEasy, MobiKwik and Droom shelved their IPOs (initial public offerings). According to Inc42, 55 unicorns together posted losses of $5.9 billion (Rs 48,400 crore) in FY22.

"In an era of low-cost capital, markets ascribed a certain kind of multiple for companies, both public and private," says Rahul Taneja, a partner with Lightspeed India Partners, a venture capital (V-C) firm. "As the interest rates moved up, public markets multiples have corrected both in India and the US. This is starting to reflect even in start-ups." During the boom days, investors were lavishing funds on firms, following a 'herd mentality' and betting on sectors without doing the necessary due diligence. Not any more.

WHAT LIES AHEAD

"Good companies managed through this cycle shift well, but some continue to figure out their path or in some cases even product-market fit," says Taneja. "The best founders are taking swift action, correcting their cost base, improving unit economics and building a business that can pay for itself." However, seldom is it a straight-line upward path, there is often pain involved in this correction journey. "The best founders go through it with strength and emerge better on the other side," he adds. Going forward, there will be a further tightening of belts. And it won't be just about layoffs. It will be a periodic affair for the next eight to 12 months. There will be a hard look at over-the-top incentives given to staff, be it freebies or club memberships or holiday allowances. While there is a freeze on hiring in many start-ups, those firms looking to recruit are going to be a lot more prudent while offering pay hikes.

"For us, it was about who has made it big in the venture capital space," Gaurav Munjal, co-founder of edtech firm Unacademy, said in a recent podcast. He also said that becoming a unicorn was one of the goals they wanted to achieve. "When we were 25—Roman (Saini), Hemesh (Singh), and me—one of the goals was to see if we could make a unicorn happen before 30, and it did," Munjal admits. The trio started the online test preparation company in 2015. Unacademy became a unicorn in 2020 and is backed by marquee investors such as Temasek, Facebook and SoftBank, among others. "Looking back, should I have chased valuations the way I did? Probably not! But it did teach me a lot of things," he shared. Now the firm seems to be focused on the fundamentals of business and profitability.

Kris Gopalakrishnan, co-founder of Infosys and chairman of Axilor Ventures, a V-C fund, believes the slowdown in start-up funding is temporary. "It's a part of economic cycles," he says, "the world is going through an economic slowdown. Interest rates have gone up and investors, when they have multiple avenues for investments, look at what is safer. So now, money is going to debt instruments." But in his opinion, the longer-term prospects for India's $3.5 trillion economy make it an attractive proposition for disruptive technologies. "I am very, very bullish on India's start-up ecosystem over the medium to long term," he said recently at the India Today South Conclave in Thiruvananthapuram.

MORE CAUTION, DUE DILIGENCE

"The start-up ecosystem is now going to change," says Prashant Choksey, co-founder of Mumbai Angels, a private investment platform for early-stage ventures. According to him, deals are down as much as 40 per cent. While the seed funds space (which needs relatively less funds) is still seeing some action, growth deals (where it could go into hundreds of millions of dollars) are hard to come by. Early-stage firms can manage for a year or two with the seed funding from academic institutions and government grants. Embright Infotech, a start-up based in Technopark, Thiruvananthapuram, has developed a virtual reality (VR)-based training tool for autistic children, and says it has received Rs 1.17 crore—Rs 50 lakh from IIM Kozhikode and IIT Mandi, in addition to Rs 60 lakh from the Centre's Start-Up India scheme and Rs 7 lakh from the state's Kerala Start-Up Mission. "The next round of funding should come from angel investors, and we are working on that," says Teena G.M., operations manager at Embright. "Investors are looking for product uniqueness, number of patents held, customer base and revenue flow